

1974 to 1987. The VLC gained 492% during those thirteen years, while as of this writing, it is virtually unchanged from its 1987 high, indicating zero net gain in the average stock over the past eight years. While the VLC is currently following the Dow's wave (5) to a new high, it is unlikely to exceed the return from Treasury bills since August 1987. In fact, the *relative strength* of secondary stocks ended *twelve* years ago, in 1983, as you will see in Figure 8-5, which plots the Value Line Index's price relative to that of the DJIA. The ratio of the S&P Low Priced Stock index to the S&P High Grade Stock index also shows a peak in 1983, as shown in Figure B-13 in Appendix B. Clearly, secondary stocks have been lagging for a long, long time.

An Analysis of Secondary Stocks

Secondary stocks (i.e., low priced stocks of small and medium sized companies) have provided a particularly strong focus for the bullish sentiment of the past six years. Mutual fund companies often report that small stock funds are their hottest sellers. Indeed, in April 1991, for the first time in history, monthly NASDAQ over-the-counter stock trading volume exceeded that on the NYSE. In the four years since then, NASDAQ volume has steadily gained on NYSE activity until in 1994, total annual volume exceeded NYSE volume for the first time ever. On September 8, 1993, *The Wall Street Journal* began a column called "Small Stock Focus," partly because "our readers want more information on small stocks, one of the most dynamic areas of the investment world and one we intend to report on more extensively." The newspaper is just doing its job, but the readers who want the coverage began demanding it nineteen years after secondary stocks began rising and a decade after they stopped outperforming blue chips! That is a bit late either to catch the bottom or to enjoy a relatively better gain.

Despite all this excitement, the superior performance of secondary stocks has occurred only in people's heads. Those who tout secondary stocks today cite numerous reasons why secondary stocks will outperform blue chips. Yet not one such assertion has reflected an adequate study of the historical behavior of secondary stock performance.

There are two reasons why both professionals and the public have embraced secondary stocks. The first is the recently accepted wisdom that "in general, small stocks outperform large capitalization issues." This truism has a basis in fact, since in most bull